Internal Finance

Exam code: 9BS0

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Introduction to sources of finance

- All businesses need finance to get started, allow them **to grow** and fund their continuing activity
- Finance may be needed for **capital expenditure**, which is spending on fixed assets such as equipment, buildings, IT equipment and vehicles
- Similarly, finance is required for **revenue expenditure**, which is spending on raw materials or day-to-day expenses, such as wages or utilities
- Businesses have **different sources of finance** available to them
  - When the finance comes from inside the business, it is called an **internal source of finance**
  - When the finance comes from outside the business, it is called an **external source of finance**

Sources of internal finance

- Internal finance comes from the **owner's capital, retained profit or the sale of assets**

Owner's capital: personal savings

- Personal savings are a key source of funds when a **business starts up**
  - Owners may introduce their savings or another lump sum, e.g. money received from a **redundancy** payment
- Owners may invest more as the **business grows** or if there is a specific need, e.g. a short-term **cash flow** problem

Retained profit

- The profit that has been generated in previous years and not distributed to owners **is reinvested** into the business
- This is a cheap source of finance, as it **does not involve borrowing** and the associated **interest** and arrangement fees

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

Sale of assets

- Selling business **assets** that are no longer required (e.g. machinery, land, buildings) generates a source of finance
- A **sale and leaseback arrangement** may be made if a business wants to continue to use an asset but needs cash
  - The business **sells an asset** (most likely a building) for which it receives cash
  - The business then **rents the premises** from the new owners
  - E.g. in early 2023, Sainsbury's announced that it was in talks to **sell its prime retail property** for £500 million, which would then be **leased back** to the business by the new owners, LXi Reit

- A business can also generate additional finance internally by managing its **working capital** more effectively
  - It can **negotiate extended payment terms** with suppliers
  - It can encourage customers to **pay more promptly** for credit purchases

Advantages and disadvantages of using internal finance

Advantages	Disadvantages
• Internal finance is **often free** (e.g. it does not involve the payment of interest or charges) • It does not involve third parties who may want to **influence business decisions** • Internal finance can usually be organised very quickly and without significant paperwork • Businesses that may **fail credit checks (necessary for a bank loan)** can access internal finance sources more easily	• There is a **significant opportunity cost** involved in the use of internal finance; i.e. once retained profit has been used, it is not available for other purposes • Internal finance **may not be sufficient** to meet the needs of the business • Using an internal finance method is **rarely as tax-efficient** as many external methods; e.g. loan repayments may be treated as a business cost and offset against tax

Examiner Tips and Tricks

Businesses that have been recently established or own few assets, as well as more established businesses that have

Weighing up the circumstances of the business is very important when considering the recommendation of internal finance.

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